

Definition of Money

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We can establish relative utility.

Theory of Games and Economic Behavior - Von Neumann

If I want to know if you value tea or coffee more I can ask you. If I want to know if you value coffee or milk more I can ask you. Suppose you tell me that you value tea more than coffee and that you value coffee more than milk. I can then compare the difference in value that you assign to tea over coffee Δ_{TC} and the difference in value that you assign to coffee over milk Δ_{CM} .

I can ask you if you would rather have a guaranteed coffee or if you would rather have a 50% chance of tea and a 50% chance of milk.

If you want coffee, you think Δ_{TC} is less than Δ_{CM} .

If you want the 50/50 deal, you think Δ_{TC} is greater than Δ_{CM} .